

increase. Once the cycle began, others were forced to borrow to compete for those items, and private lenders stepped in to provide the loans. The boom of home loans in the 1950s provided better housing to young couples at a much earlier age than they ever could have realized by saving to buy their homes.

But there was a price to be paid, and that price was inflation. Home prices began to creep up in the late 1950s, as more and more families entered the market through a wide variety of mortgage options. But as prices climbed, many couples were forced out of the market because they could not afford the monthly payments. The bankers, still leaning toward the conservative side, applied the 25 percent rule to housing loans, meaning that no more than 25 percent of the husband's total monthly income could be dedicated to home mortgage payments.

The impasse created by that policy led to a slowdown in buying, not only in the housing industry but also in related industries, such as appliances, carpeting, and real estate. A parallel predicament was evident in the automobile industry and in education, both of which had become heavily dependent on consumers' use of loans to buy their products and services. The answer came in the form of longer-term loans. By extending the payment period, lenders enabled people with relatively low incomes to afford the monthly payments. Another boom was on.

By the mid-60s, the generation of bankers who had been through the Great Depression was retiring and turning operations over to younger, more aggressive people who had grown up with the debt-oriented mentality. The need to expand the credit base meant that even more loans had to be made available to more people for longer periods of time.

By the 1970s, virtually every segment of the economy was dependent on credit. Even consumer items like food, clothing, medical care, and travel were dependent on credit through credit cards and small loans. Lenders extended long-term loans based on equity in assets. Thus consumers could borrow on the appreciated values of their homes, stocks, and businesses. But since the equity